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Hygon Information Technology Co., Ltd. | Asia Pacific

Local Beneficiary of Agentic AI; OW

2Q26 results largely in line preliminary:

- Revenue: Rmb5.1bn, up 26% QoQ and 65% YoY.
- Gross margin: 54.9%, down 0.7ppt Q/Q, suggesting higher mix of GPU products.
- Net income: Rmb1.1bn, up 62% Q/Q and 60% Y/Y, supported by strong operating leverage.

Prepayments and inventory both rising: Hygon’s prepayments and inventory reached Rmb4.8bn and Rmb7.5bn in 2Q26, respectively, up 39% and 3% Q/Q. We think the ability to lock in sufficient HBM inventory during 2026 could be a key determinant of shipment stability and growth in 2027.

Reiterate OW: We remain constructive on China AI demand. In particular, we like Hygon’s CPU business to meet surging agentic AI demand. The spec upgrade of its CPU core count, clock speed, and memory bandwidth could meet the high-concurrency, low-latency, and high-throughput computing demands of AI agent applications. P/S is 20x for 2027e, lower than the peer average of 27x.

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Hygon Information Technology Co., Ltd. (688041.SS, 688041 CH)

Greater China Technology Semiconductors China				
Stock Rating	Overweight			
Industry View	Attractive			
Price target	Rmb480.00			
Up/downside to price target (%)	68			
Shr price, close (Aug 13, 2026)	Rmb286.00			
52-Week Range	Rmb395.17-138.58			
Mkt cap, curr (mn)	Rmb664,760.7			
Avg daily trading value (mn)	Rmb8,486			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	1.10	2.02	3.31	5.30
EPS (Rmb)§	1.35	1.98	3.01	4.29
Revenue, net (Rmb mn)	14,376.9	22,419.7	32,906.0	45,341.8
EBITDA (Rmb mn)	5,103.7	7,431.0	10,877.4	15,953.3
ModelWare net inc (Rmb mn)	2,544.9	4,694.7	7,702.8	12,307.6
P/E	204.6	141.6	86.3	54.0
ROE (%)	12.6	20.9	29.1	37.3

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Hygon Information Technology Co., Ltd. (688041.SS)

We assume an 8.0% cost of equity (beta 1.05, risk-free rate 2.0% and risk premium 5.8%), a payout ratio of 50%, a medium-term growth rate of 25.0%, and a terminal growth rate of 5.0%, all of which are in line with other China AI chip companies under our coverage.

Risks to Upside

- Hygon further differentiates itself from local CPU and GPU competitors and gains significant market share in China's CPU and GPU markets
- China AI demand is stronger than expected
- Faster ramp-up of leading node capacity

Risks to Downside

- Intensified pricing competition among local GPU companies
- China AI demand is weaker than expected
- Slower yield improvement and capacity buildout at local leading node foundries

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Hygon Information Technology Co., Ltd. (688041.SS) - As of 08/13/26 GMT in CNY
Industry : Greater China Technology Semiconductors



Stock Rating History: 7/3/26 : O/A

Price Target History: 7/3/26 : 480

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/13/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$81.26
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb370.42
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$117.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$4,190.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$626.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,105.50
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$5,540.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$1,025.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$472.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$147.20
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$418.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$253.50
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb78.95
MediaTek (2454.TW)	O (11/28/2025)	NT\$4,225.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb747.00
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$514.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb738.60
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb90.02
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$2,280.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb118.70
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$465.00
SMIC (0981.HK)	O (10/21/2025)	HK\$67.55
TSMC (2330.TW)	O (02/07/2022)	NT\$2,435.00
UMC (2303.TW)	O (05/19/2026)	NT\$124.50
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$163.00
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$387.00
Daisy Dai, CFA		
ASMP.T Ltd (0522.HK)	O (07/24/2025)	HK\$175.80
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb59.91

Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb95.74
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb32.28
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb286.00
Innoscence (2577.HK)	E (10/13/2025)	HK\$45.54
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb77.82
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$26.68
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb112.03
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb86.69
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb66.14
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb27.22
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb95.55
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$865.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,430.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$17,490.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$101.00
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$145.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb112.00
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb404.50
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$136.50
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$286.80
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb210.22
Novatek (3034.TW)	U (02/04/2026)	NT\$538.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$126.50
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$586.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$74.90
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$758.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb51.18
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$177.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$123.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$215.00
Duan Liu		
Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb112.50
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb397.00
Tiffany Yeh		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,270.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$600.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$15.09
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,770.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$6,495.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$241.31
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$6,745.00

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.